

Year	Liggett & Myers Tobacco Co.		Commonwealth & Southern Corp.	
	Number of times interest earned	Number of times int. and pfd. dividend earned	Number of times fixed charges earned	Number of times fixed charges and pfd. dividend earned
1930	15.2	7.87	1.84	1.48
1929	13.9	7.23	1.84	1.55
1928	12.3	6.42	1.71	1.44
1927	11.9	6.20	1.62	1.37
1926	11.2	5.85	1.52	1.31
1925	9.8	5.14	1.42	1.28

enough *only if the bonds are much safer than necessary*. Conversely, if the bonds are only just safe enough, the preferred stock cannot be sound. This is illustrated by two examples, as follows:

The Liggett and Myers preferred-dividend coverage (including, of course, the bond interest as well) is substantially above our suggested minimum of four times. The bond-interest coverage alone is therefore far in excess of the smaller minimum required for it, *viz.*, three times. On the other hand, the Commonwealth and Southern fixed-charge coverage in 1930 was just about at the proposed minimum $1\frac{3}{4}$ times. This meant that while the various bonds *might* qualify for investment, the 6% preferred stock could not possibly do so, and the purchase of that issue at a price above par in 1930 was an obvious mistake.

“Dollars-per-share” Formula Misleading. When a preferred stock has no bonds ahead of it, the earnings may be presented either as so many dollars per share or as so many times dividend requirements. The second form is distinctly preferable, for two reasons. The more important one is that the use of the “dollars per share” formula in cases where there are no bonds is likely to encourage its use in cases where there are bonds. Security analysts and intelligent investors should make special efforts to avoid and decry this misleading method of stating preferred-dividend coverage, and this may best be accomplished by dropping the dollars-per-share form of calculation entirely. As a second point, it should be noted that the significance of the dollars earned per share is dependent upon the market price of the preferred stock. Earnings of \$20 per share would be much more favorable for a preferred issue selling at 80 than for